

SavePredictedExams — SME

Economics

Higher level / Standard level

Paper 2

SME Predicted Paper Set — Advanced

1 hour 45 minutes

Instructions to candidates

- Do not open this paper until instructed to do so.
- You are permitted access to a calculator for this paper.
- Unless otherwise stated in the question, all numerical answers must be given exactly or correct to two decimal places.
- You must show all your working.
- Answer **one** question.
- Use fully labelled diagrams and references to the text/data where appropriate.
- The maximum mark for this examination paper is **[40 marks]**.

Answer one question.

1. Read the extracts and answer the questions that follow.

Text A — Nigeria's Dual Economy

- 1.** Nigeria is Africa's largest economy by nominal GDP at \$477 billion in 2022, and its most populous country with over 218 million inhabitants. Despite its size, Nigeria faces serious development challenges: nearly 40% of the population lives in extreme **poverty**, and the country is among the most unequal in the region.
- 2.** The economy is heavily dependent on the oil sector. Crude oil accounts for around 80% of export earnings and over 50% of federal government revenue. However, oil contributes only 9% of GDP, since most of the workforce is in agriculture and informal services.
- 3.** Despite being an oil producer, Nigeria imports most of its refined petroleum because of underinvestment in domestic refining capacity. Until mid-2023, the government spent roughly \$10 billion per year on a **subsidy** on refined petroleum that kept pump prices artificially low. This subsidy was withdrawn in 2023, prompting a sharp rise in fuel prices and transport costs.
- 4.** Nigeria maintained a complex multiple-exchange-rate regime until 2023. The official naira rate was well below the parallel market rate, creating rents, corruption and capital flight. In mid-2023 the Central Bank of Nigeria unified the official and parallel rates, effectively devaluing the naira by around 40%.
- 5.** Non-oil export diversification remains a policy priority. The African Continental Free Trade Area (AfCFTA) offers Nigeria access to a market of more than 1.3 billion consumers. The government hopes AfCFTA will stimulate the manufacturing sector, textiles and agribusiness.

Text B — Development and Inequality in Nigeria

1. Nigeria scores 0.535 on the **Human Development Index (HDI)**, placing it 163rd out of 191 countries. Life expectancy at birth is 53 years and mean years of schooling are 7.6 years.
2. Income and wealth inequality are very high. The top 10% of the population accounts for over 40% of total income. Critics argue that oil revenues have benefited a small elite while failing to reach ordinary Nigerians.
3. Corruption ranks among the biggest obstacles to development, with Nigeria scoring 24/100 on Transparency International's Corruption Perceptions Index. Poor governance raises the cost of doing business, deters FDI, and diverts public resources.
4. Infrastructure is weak: electricity supply is unreliable, road networks are deficient, and internet penetration is uneven across regions. Firms often rely on expensive diesel generators, raising production costs and reducing competitiveness.
5. Youth unemployment stands above 40%. The large informal sector offers jobs but not social protection. Migration to the Gulf and Europe provides remittance inflows that contribute significantly to household incomes.
6. The Nigerian government has committed to structural reforms including removing fuel subsidies, broadening the tax base, tackling corruption and investing in education, but implementation has been uneven.

Table 1: Nigeria — development indicators

Year	HDI	Life expectancy (years)	GNI per capita (PPP US\$)	CPI corruption rank (out of 180)
2010	0.487	51.3	4,560	134
2015	0.510	52.4	4,960	136
2020	0.538	52.7	4,910	149
2022	0.535	52.9	4,830	150

Question 1 continued

- (a) (i) Define the term **poverty** indicated in bold in the text (Text A, Paragraph 1). **[2]**
- (a) (ii) Define the term **Human Development Index (HDI)** indicated in bold in the text (Text B, Paragraph 1). **[2]**
- (b) (i) Using Table 1, calculate the percentage change in Nigeria's HDI between 2010 and 2022. **[3]**
- (b) (ii) Using information from Text A, Paragraph 1, calculate the nominal GDP per capita of Nigeria in 2022. **[2]**
- (c) Using a demand and supply diagram, explain how the removal of the fuel subsidy (Text A, Paragraph 3) affects the domestic market for refined petroleum in Nigeria. **[4]**
- (d) Using an exchange rate diagram, explain how the unification of the naira's exchange rates (Text A, Paragraph 4) may affect Nigerian exporters. **[4]**
- (e) Using an AD/AS diagram, explain how persistent electricity shortages and poor infrastructure (Text B, Paragraph 4) may affect Nigeria's long-run aggregate supply. **[4]**
- (f) Using a poverty-cycle or development diagram, explain how high corruption (Text B, Paragraph 3) can hinder economic development in Nigeria. **[4]**
- (g) Using information from the text/data and your knowledge of economics, evaluate the view that participation in the AfCFTA (Text A, Paragraph 5) is the most effective strategy for achieving long-term economic development in Nigeria. **[15]**

2. Read the extracts and answer the questions that follow.

Text A — Brazil's Economic Transformation

1. Brazil is Latin America's largest economy with real GDP of approximately \$1,920 billion in 2022. Once notorious for hyperinflation, Brazil has run an **inflation targeting** regime since 1999, with moderate success.
2. Brazil's economic structure is highly diversified, including agribusiness (soybeans, beef, sugar, coffee), mining (iron ore, oil), advanced manufacturing (aircraft, automobiles) and a growing services sector.
3. Brazil suffers from long-standing inequality, but has made significant progress through the **Bolsa Família** cash-transfer programme and minimum-wage increases. The Gini coefficient fell from 0.58 in 2001 to around 0.52 in 2019.
4. Deforestation of the Amazon rainforest is an urgent environmental concern, linked to cattle ranching and soybean expansion. The Amazon is a critical **common access resource** providing global ecosystem services, but individual producers have no incentive to limit their use.
5. Brazil's central bank raised the Selic policy rate to 13.75% in 2022 in response to global inflation pressures. This tight monetary stance slowed activity but helped bring inflation down to 4.6% by late 2023.

Text B — Brazil in the Global Economy

1. Brazil is a member of the Southern Common Market (Mercosur), a customs union with Argentina, Uruguay and Paraguay. Mercosur is negotiating a long-delayed trade agreement with the European Union.
2. Brazil has a large trade surplus in agricultural commodities, particularly with China, but imports significant volumes of machinery, electronics and chemicals from advanced economies.
3. Foreign direct investment in Brazil has historically been large, but flows slowed in the late 2010s due to political uncertainty. More recently, Brazil has benefited from supply-chain diversification and investment in renewable energy.
4. Brazil's real (BRL) is a floating currency. Commodity price shocks and portfolio-investment flows cause significant volatility. The BRL has fluctuated between 3.7 and 5.8 per US dollar over the last five years.
5. Brazil is positioning itself as a leader in green growth, with large hydro-power capacity, ethanol production from sugarcane, and new investments in wind and solar. However, illegal deforestation continues to damage the country's environmental credentials.

Table 2: Brazil — selected indicators

Year	Real GDP growth (%)	Inflation (%)	Selic rate (%)	Exchange rate (BRL per US\$)
2018	1.8	3.7	6.50	3.87
2019	1.2	4.3	4.50	4.03
2020	-3.3	4.5	2.00	5.16
2021	5.0	10.1	9.25	5.40
2022	3.0	5.8	13.75	5.16

2023	2.9	4.6	11.75	5.00
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Question 2 continued

- (a) (i) Define the term **inflation targeting** indicated in bold in the text (Text A, Paragraph 1). **[2]**
- (a) (ii) Define the term **common access resource** indicated in bold in the text (Text A, Paragraph 4). **[2]**
- (b) (i) Using Table 2, calculate the average rate of inflation in Brazil over the six years 2018–2023. **[2]**
- (b) (ii) Using Table 2, calculate the percentage depreciation of the Brazilian real against the US dollar between 2018 and 2022. **[3]**
- (c) Using an AD/AS diagram, explain how an increase in the Selic rate to 13.75% (Text A, Paragraph 5) was intended to reduce inflation in Brazil. **[4]**
- (d) Using a common access resource or negative externality diagram, explain why private incentives lead to excessive deforestation of the Amazon (Text A, Paragraph 4). **[4]**
- (e) Using an appropriate diagram, explain how the Bolsa Família cash-transfer programme (Text A, Paragraph 3) can reduce income inequality in Brazil. **[4]**
- (f) Using an exchange rate diagram, explain how a sharp fall in global commodity prices may affect the value of the Brazilian real (Text B, Paragraph 4). **[4]**
- (g) Using information from the text/data and your knowledge of economics, evaluate the extent to which Brazil's inflation-targeting regime has been effective in delivering macroeconomic stability and inclusive growth. **[15]**